



Best's Credit Rating Effective Date

October 24, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

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Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Pekin Life Insurance Company

AMB #: 006901 | **NAIC #:** 67628 | **FEIN #:** 37-0866596

Ultimate Parent: AMB # 002395 - The Farmers Automobile Insurance Association

Best's Credit Ratings

Financial Strength Rating (FSR)

A- Excellent
Outlook: Stable Action: Affirmed

Issuer Credit Rating (ICR)

a- Excellent
Outlook: Stable Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Marginal
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Rationale

Balance Sheet Strength: **Very Strong**

- Pekin Life Insurance Company (Pekin Life) maintains the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR) at the 99.6% confidence level.
- Prior to 2023, organic capital growth was on a declining trend over the most recent five-year period. However, admitted assets have seen an increasing trend over the same time period. Capital grew modestly in 2024.
- Pekin Life has a highly diverse investment portfolio that is of good credit quality.

Operating Performance: **Marginal**

- Statutory operating earnings have fluctuated in recent years and remain below the industry average.
- Life and annuity premiums have fluctuated in recent years driven by a competitive market and exit from certain lines of business.
- Pekin Life has experienced favorable customer retention with strong policy persistency.

Business Profile: **Neutral**

- Pekin Life has solid distribution with nearly 10,000 agents operating out of over 1,200 agencies and 400 funeral homes, selling products in 24 states.
- Pekin Life has a diverse range of products including universal and traditional life, pre-need, annuities and Medicare supplement; however, a lack of scale is putting pressure on a number of product lines.
- Pekin Life continues to focus on geographic expansion; however, business written in its home state of Illinois continues to account for over 40% of its premiums.

Enterprise Risk Management: **Appropriate**

- Qualitative and quantitative risk appetite/tolerance statements are maintained for key risks, which are closely tied to the company's strategic planning process.
- The ERM framework has been enhanced over the past several years and continues to evolve to build awareness and a shared responsibility for risk management across the organization.
- Pekin Life performs well on its stress testing, cash flow testing and monitoring of economic, political and regulatory risks.

Outlook

- The stable outlooks are based on Pekin Life's improving operating results and stabilization at the parental level in recent years.

Rating Drivers

- A negative rating action could occur should Pekin Life experience a material decline in its balance sheet strength assessment.
- A negative rating action could be taken if AM Best were to take a negative rating action on the Pekin Insurance Group.
- A positive rating action could occur if there is a positive rating action taken on Pekin Insurance Group.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	60.2	45.1	39.0	36.9

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	1,709,771	1,698,005	1,712,897	1,687,081	1,652,962	1,626,328	1,576,651
Total	1,709,771	1,698,005	1,712,897	1,687,081	1,652,962	1,626,328	1,576,651
Liabilities:							
Net Life Reserves	1,425,749	1,405,317	1,415,625	1,395,998	1,381,875	1,337,517	1,291,594
Net Accident & Health Reserves	15,759	24,366	15,934	19,385	23,845	24,386	25,713
Liability for Deposit Contracts	56,884	57,668	56,726	54,034	44,996	64,424	47,305
Asset Valuation Reserve	25,305	23,608	25,013	21,771	14,700	18,446	15,198
Other General Account	58,303	61,292	70,703	80,006	72,345	59,514	75,044
Total	1,582,001	1,572,251	1,584,000	1,571,194	1,537,761	1,504,286	1,454,854
Total Capital and Surplus	127,771	125,754	128,898	115,888	115,201	122,042	121,798
Net Income	-1,685	7,661	8,614	1,927	-4,743	-3,770	1,189
Net Premiums Earned	95,643	94,740	185,973	188,682	198,754	197,326	186,803
Net Investment Income	36,521	35,307	71,329	68,040	61,401	58,490	58,137

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	-1.8	5.1	2.5	0.3	-2.1	-2.0	0.7	-0.1
Operating Return on Capital and Surplus	-3.7	11.0	5.3	0.7	-4.7	-4.3	1.4	-0.3
Net Investment Yield	4.4	4.3	4.3	4.2	3.8	3.7	3.8	4.0
Pre-Tax Investment Total Return	4.5	4.8	4.2	4.2	3.3	4.4	4.4	4.1

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	12.4	12.5	12.3	13.6	13.3	12.3	11.9
Higher Risk Assets to Capital and Surplus:							
Mortgages Not in Good Standing	...	...	0.5	0.7	1.4	0.9	1.3
All Other Higher Risk Assets	43.4	45.1	44.4	48.1	58.4	52.7	54.5

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	95.8	95.7	95.0	94.3	95.4	97.5	97.3
Net Operating Cash Flow USD (000)	4,072	20,750	25,445	7,421	34,759	38,014	38,187

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Pekin Life maintains a high level of risk-adjusted capitalization in support of its insurance and investment risks as measured by AM Best's Capital Adequacy Ratio (BCAR) at the 99.6 percent confidence level. Following the challenging capital market conditions in 2022 which adversely affected both equity and fixed income security market values, the improvement in 2023 and 2024 was primarily driven by the increase in market value of its common stock portfolio and the positive investment environment.

Balance Sheet Strength (Continued...)

Capitalization

Organic surplus growth was reported in 2024 due to strong interest environment, primarily driven by net investment income. The company reported modest surplus growth in 2023. The surplus declines over most of the past five years have been driven by increases in asset valuation reserve, non-admitted assets and pension benefit plan obligations and unrealized capital losses in 2022. The company passes all scenarios of NY 7 cash flow testing and an additional 18 scenario tests for a total of 25 tests.

Capital Generation Analysis USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	128,898	115,888	115,888	115,201	122,042	121,798	125,850
Net Operating Gain	-2,365	6,673	6,493	865	-5,616	-5,299	1,766
Net Realized Capital Gains (Losses)	680	988	2,122	1,062	873	1,529	-577
Net Unrealized Capital Gains (Losses)	427	3,014	4,184	6,083	-9,697	4,623	4,661
Stockholder Dividends	...	...	...	...	...	-341	-171
Other Changes in Capital and Surplus	132	-809	212	-7,324	7,598	-267	-9,732
Net Change in Capital and Surplus	-1,127	9,866	13,010	687	-6,841	245	-4,052
Ending Capital and Surplus	127,771	125,754	128,898	115,888	115,201	122,042	121,798
Net Change in Capital and Surplus (%)	-0.9	8.5	11.2	0.6	-5.6	0.2	-3.2
Net Change in Capital and Surplus (5 yr CAGR)	...	...	0.5	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Pekin Life's investment portfolio consists primarily of high credit quality investment grade bonds (90% of invested assets) and a modest investment in common stocks. Common stocks are widely diversified through individual holdings. Commercial mortgages were at 7.0% of invested assets as of year-end 2024. Pekin has no exposure to schedule BA alternative assets.

Composition of Cash and Invested Assets	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	1,651,756	1,645,740	1,657,894	1,634,667	1,602,657	1,578,158	1,527,957
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	1.7	1.1	0.8	0.7	0.3	0.7	0.3
Bonds	86.3	86.6	86.3	86.7	88.5	89.0	89.5
Stocks	2.8	2.5	2.7	2.2	1.9	2.4	2.0
Mortgage Loans	6.6	7.0	7.0	7.0	6.9	6.6	6.4
Other Invested Assets	2.5	2.7	3.2	3.3	2.5	1.4	1.8
Total Unaffiliated	99.9	99.9	99.9	99.9	99.9	99.9	100.0
Investments in Affiliates	0.1	0.1	0.1	0.1	0.1	0.1	...
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.1	0.2	...	...	0.4	17.0
Government Agencies and Municipal Bonds	0.7	2.8	2.6	6.0	1.9	11.8
Industrial and Miscellaneous Bonds	1.5	13.2	18.2	17.8	34.1	15.3
Hybrid Securities	...	0.1	...	0.3	0.2	15.6
Total Bonds	2.3	16.3	20.9	24.0	36.6	14.8

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

	Year End - December 31				
Bonds - Distribution by Issuer	2024	2023	2022	2021	2020
Bonds USD (000)	1,430,860	1,417,582	1,417,919	1,404,584	1,367,310
US Government (%)	0.2	0.2	0.2	0.2	0.2
Foreign Government (%)	0.4	0.4	1.4	1.0	0.7
Foreign - All Other (%)	13.3	15.9	16.0	14.0	15.3
State, Municipal & Special Revenue (%)	14.0	12.8	16.7	19.2	22.0
Industrial & Miscellaneous (%)	71.5	70.4	65.5	65.2	61.4
Hybrid Securities (%)	0.6	0.3	0.3	0.3	0.3
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Operating Performance

Pekin Life's operating results have fluctuated in recent years primarily due to statutory expense strain associated with new business sales and increased expenses. The company reported a net gain of \$8.6 million in 2024 compared to a gain of \$1.9 million in 2023. These followed losses of \$4.7 million and \$3.8 million in 2022 and 2021, respectively. Overall, statutory returns on equity have been below industry averages.

The majority of Pekin Life's premium income is derived from the ordinary life, group life, medicare supplement, and individual annuity lines of business. The ordinary life, medicare supplement, and individual annuity lines of business have been the company's leading contributor to net operating gains over the last five years. The decrease in premium was primarily the result of the company's exit from the Credit Life and Credit Accident and Health lines during 2023. Pekin Life continues to focus on the growth of its life insurance products to improve stability and reduce risk in its product portfolio.

	Year End - December 31				
Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	5,144	-4,402	-6,205	-5,858	-625
Group Life	-320	-1,048	-534	-2,322	-427
Individual Annuities	5,636	8,393	4,188	3,430	2,090
Group Annuities	317	122	7	-501	-173
Accident & Health	-5,176	-3,108	-3,863	-585	459
Other Lines of Business	892	908	791	536	442
Total	6,493	865	-5,616	-5,299	1,766

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Accident & Health Statistics	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	40,493	39,825	45,522	45,688	42,862
Net Premiums Earned USD (000)	43,336	44,550	45,628	45,264	44,284
Claims and Cost Containment Ratio (%)	91.0	84.9	74.5	68.0	66.4
Expense Ratio (%)	27.6	32.2	34.7	34.1	34.1
Combined Ratio (%)	118.5	117.1	109.2	102.1	100.5
Underwriting Results USD (000)	-7,186	-6,024	-4,359	-1,092	239

Source: BestLink® - Best's Financial Suite

Business Profile

Pekin Life has a range of products including but not limited to universal and traditional life, pre-need, annuities, and medicare supplement. In addition to the diversified product lines, the company has an expanding list of agencies selling its products with over 1,200 agencies and over 10,000 agents. The company is authorized to write in the 6 core states plus 18 additional states for a total of

Business Profile (Continued...)

24 states. Additionally, Pekin is planning on adding 8 additional states by 2030 following its entrance into Utah in late 2022. The company sells insurance primarily through independent agents. Achieving pricing targets has been an issue for the company, bringing into question pricing abilities and expense control.

Fixed income investments are managed by outside manager Conning Asset Management. Since 2018, the company's strategic efforts have been focused on growth in the life insurance and medicare supplement product lines. The company plans to achieve this growth by expanding its relationships with agents and brokerages, exploring new distribution channels for voluntary products and continued expansion into new target states. Due to regulatory issues and costs related to the Affordable Care Act, the company withdrew from the group fully insured major medical market in 2018.

The company lacks scale in many different lines of business. Over 40% of its total premiums come from the state of Illinois. The limited geographic scope of its operations enables the company to cultivate long-term relationships with its agents, many of whom have been contracted with Pekin Life for more than twenty years. This concentration, however, also exposes the company to declines in the population growth of small towns, which has historically been the company's target market. In an effort to expand geographically, Pekin Life has been contracting with more agencies in Illinois, Indiana, Iowa, Wisconsin, North Carolina and Utah and in recent years, has focused more on the suburbs outside of metropolitan areas. The company has also expanded its agency appointment program in Illinois in consideration of recent changes in population trends.

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	100,840	50.2	...	...	14,557	96.7	86,282	46.4	85.6
Group Life	48,046	23.9	...	...	475	3.2	47,572	25.6	99.0
Individual Annuities	8,141	4.0	...	...	...	...	8,141	4.4	100.0
Group Annuities	3,668	1.8	...	...	...	...	3,668	2.0	100.0
Accident & Health	40,339	20.1	...	...	29	0.2	40,310	21.7	99.9
Total	201,034	100.0	...	...	15,061	100.0	185,973	100.0	92.5

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
Illinois	88,021	92,651	90,397	89,963	92,149
Wisconsin	32,310	32,435	33,799	33,247	29,853
Indiana	22,869	22,202	23,027	23,132	20,818
Iowa	16,401	16,940	17,408	15,503	14,023
Ohio	12,449	8,779	7,863	8,376	7,233
Top 5 States	172,050	173,007	172,494	170,221	164,076
All Other	30,280	30,344	39,665	38,942	34,181
Total	202,330	203,350	212,159	209,164	198,256
Geographic Concentration Index	0.24	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

The ERM program is comprehensive and appropriate for the risk profile of the organization. Pekin's enterprise risk management (ERM) strategy is aligned with its corporate vision to provide financial stability and high quality service to its policyholders and agents. The framework is intended to build awareness and a shared responsibility for risk management across the group of companies. Pekin's ERM process has impacted strategic decisions such as product lines, geographic territories, and agency relationships. Human capital risks such as succession planning, management development, employee engagement and retention have also been affected. Continuity planning, data privacy and information technology security have all been influenced by the group's understanding of ERM. Management owns the ERM process which the board of directors oversees. Pekin's ERM represents a collaborative approach to setting risk tolerances

Enterprise Risk Management (Continued...)

with an emphasis on "bottom up" communications. It is viewed as an identifier of risks and opportunities and a means of mitigating undesirable risks and capitalizing on unrealized opportunities.

Reinsurance Summary

The company has yearly renewable term and coinsurance agreements with its reinsurers, among which are Swiss Re Life and Health, New York; Employers Reinsurance Corporation, Missouri; Reinsurance Group of America (RGA), Missouri; Athene Life Insurance Co., Delaware; Scor Global Life USA Reinsurance Co., Minnesota; and Munich American Reassurance Company, Georgia. Maximum net retention on individual life is \$500,000 on lives age 40 and below, and \$250,000 for lives over age 40 and \$50,000 for group contracts. The retention limit on individual accident and health risks is \$425,000 and group accident and health is \$425,000.

Environmental, Social & Governance

AM Best views Pekin Life as having limited sensitivity to ESG-related risks, given the modest scale of its operations and its overall low-to-medium underwriting risk profile, across products with mortality, longevity and A&H exposures.

Financial Statements

	6-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	28,504	1.7	12,583	0.7	11,817	0.7
Bonds	1,424,867	83.3	1,430,860	83.5	1,417,582	84.0
Preferred and Common Stock	46,068	2.7	44,983	2.6	35,899	2.1
Other Invested Assets	152,317	8.9	169,469	9.9	169,369	10.0
Total Cash and Invested Assets	1,651,756	96.6	1,657,894	96.8	1,634,667	96.9
Premium Balances	27,036	1.6	26,933	1.6	26,665	1.6
Net Deferred Tax Asset	7,238	0.4	7,388	0.4	7,471	0.4
Other Assets	23,742	1.4	20,682	1.2	18,279	1.1
Total General Account Assets	1,709,771	100.0	1,712,897	100.0	1,687,081	100.0
Total Assets	1,709,771	100.0	1,712,897	100.0	1,687,081	100.0
Net Life Reserves	1,425,749	83.4	1,415,625	82.6	1,395,998	82.7
Net Accident & Health Reserves	15,759	0.9	15,934	0.9	19,385	1.1
Liability for Deposit Contracts	56,884	3.3	56,726	3.3	54,034	3.2
Asset Valuation Reserve	25,305	1.5	25,013	1.5	21,771	1.3
Other Liabilities	58,303	3.4	70,703	4.1	80,006	4.7
Total General Account Liabilities	1,582,001	92.5	1,584,000	92.5	1,571,194	93.1
Total Liabilities	1,582,001	92.5	1,584,000	92.5	1,571,194	93.1
Capital Stock	22,000	1.3	22,000	1.3	22,000	1.3
Paid-In and Contributed Surplus	900	0.1	900	0.1	900	0.1
Unassigned Surplus	109,140	6.4	110,267	6.4	97,257	5.8
Other Surplus	-4,270	-0.2	-4,270	-0.2	-4,270	-0.3
Total Capital and Surplus	127,771	7.5	128,898	7.5	115,888	6.9
Total Liabilities, Capital and Surplus	1,709,771	100.0	1,712,897	100.0	1,687,081	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Earned:				
Individual Life	...	...	86,282	87,099
Group Life	...	...	47,572	45,499
Individual Annuities	...	...	8,141	12,951
Group Annuities	...	...	3,668	3,282
Accident & Health	...	...	40,310	39,852
Total Net Premiums Earned	95,643	94,740	185,973	188,682
Net Investment Income	36,521	35,307	71,329	68,040
Other Income	188	447	921	2,378
Total Revenue	132,353	130,494	258,223	259,100
Policy Benefits	105,346	94,190	195,783	203,426
Commissions and Expense Allowances	7,834	7,907	15,751	17,114
Insurance and Other Expense	20,891	18,512	35,562	36,282
Dividends to Policyholders	5	5	9	11
Pre-Tax Net Operating Gain	-1,722	9,879	11,119	2,268
Income Taxes Incurred	643	3,207	4,626	1,403
Net Operating Gain	-2,365	6,673	6,493	865
Net Realized Capital Gains	680	988	2,122	1,062
Net Income	-1,685	7,661	8,614	1,927

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	94,220	93,854	186,021	187,197
Net Investment Income	36,496	35,161	71,110	66,257
Other Income Received	206	254	664	730
Total Collected Operating Revenue	130,922	129,268	257,795	254,185
Net Benefits and Loss Related Payments	98,459	79,639	180,066	193,794
Commissions and Other Expenses Paid	27,631	25,245	46,838	52,698
Dividends to Policyholders	5	5	10	11
Income Taxes Paid (Recovered)	755	3,630	5,436	260
Total Paid Expenses and Transfers	126,850	108,519	232,350	246,763
Net Operating Cash Flow	4,072	20,750	25,445	7,421

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)



BEST'S CREDIT REPORT

AMB #: 006901 - Pekin Life Insurance Company

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

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